

C

COVENANT

The obligation layer for the open economy

A registry where a promise to pay is a first-class on-chain object, and its state advances only on cryptographically verified evidence — never on anyone's word.

THE PROBLEM

Every promise to pay in crypto is invisible — until it breaks

\$14B

active tokenized private credit on-chain

\$20B

tokenized real-world assets

0

credit bureaus, lien registries, or bankruptcy courts underneath either

A borrower can hold obligations at five protocols across four chains, and none of them can see the others. Every major credit blowup of the last cycle was the same failure — not fraud nobody could punish, but leverage nobody could see.

Every attempt was fixed with a better model. None with better evidence.

On-chain credit scores

Spectral, Cred, ARCx, RociFi

A number with no recourse and no sybil cost. Nobody lends against an opinion.

Aave credit delegation

The delegator got no upside and no enforcement. Delegation without payment is charity.

Goldfinch

Not an underwriting failure — an observability failure. Borrowers reported performance in PDFs.

Maple v1

Pool delegates with no cross-venue visibility → correlated blowups.

The missing input landed on Creditcoin in June 2026

Repayments moved on-chain

Stablecoin settlement means a repayment is now an event, not a report.

ASC shipped to mainnet

A Creditcoin contract can cryptographically verify a real Ethereum event in one block.

~\$0.000024 per verification

Checking a foreign-chain fact costs a fraction of a cent — cheap enough to do continuously.

For the first time, the performance of a loan is something a contract can check — rather than something a human tells you.

An Obligation — a promise to pay, on-chain

```
obligor (commitment, never PII) · principal · schedule · seniority · collateral  
ref
```

```
status: Active → Current → Delinquent → Default → Settled
```



Status advances only when an ASC proof of the corresponding Ethereum event is verified by the BlockProver precompile, or when a deadline measured in attested source-chain block height expires. No party can assert a transition.

The inversion

Every other ASC project proves that something happened.

Covenant proves that nothing did.

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SilenceAdapter: an obligation degrades unless proof of payment arrives. No reporter, no committee, no oracle operator. Default is the default.
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"You cannot prove a negative with an inclusion proof. Covenant does not claim to. It proves an on-chain fact about Creditcoin state — no admissible proof of payment for this window was presented before the attested head passed the deadline — which is economically equivalent to non-payment, because submission is permissionless, costs a fraction of a cent, and the borrower is the party most motivated to submit it. If it is ever wrong, the proof still cures it, however late it arrives."

Bonded underwriters — named, not pooled

Named, not pooled

A bond backs one obligation. Pooling is what let correlated risk hide inside a single APY — and why the delegate model died.

Stablecoin-first

Collateralised in a volatile token is a reflexive death spiral: the collateral falls precisely when defaults rise. Allowlisted only.

Slashed by proof

Earn the spread when the borrower pays. Slashed automatically to the creditor on a proven default — no committee, no vote.

This puts the credit decision where the information actually is — the loan officer, the employer, the co-op, the merchant acquirer. A borrower’s cost of credit becomes a live market price instead of a model’s opinion.

Every number here is a real transaction

26%

more cost to prove a fact
51,529× the age

232

continuity roots — saturates
past ~1yr, not linear

78.4%

gas saved batching
10 proofs, 1 continuity chain

2.3min

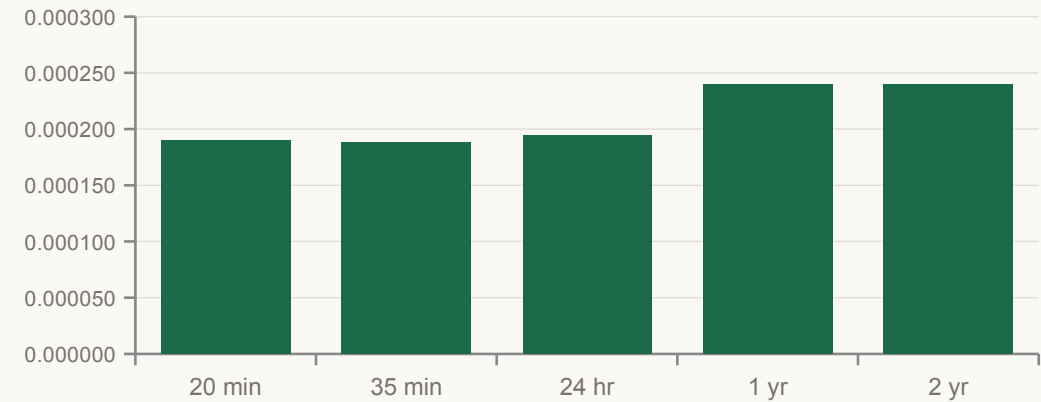
registered → delinquent →
default, zero humans

A live default, no reporter

Registered	0x7da80af3...e9eb9fc8
→ Delinquent	0x72127e0d...bf720278
→ Default	0x7ce07a2e...759a61f7

Zero underwriters had posted first-loss capital against this obligation — the default report shows slashed: 0, honestly, rather than implying protection that wasn't there.

Deep-history cost curve



The guarded path around a raw precompile

- **Real mainnet evidence, from testnet**

CC3 testnet attests Ethereum mainnet at chainkey 3. Every proof in this build is against a real mainnet transaction.

- **BlockProver does not validate success**

A reverted ERC-20 transfer is still a validly-included transaction. AscVerify.sol asserts receipt status == 0x1 before any log is touched — published standalone, MIT.

- **Replay-guarded, confirmation-gated**

Every proof keys on (chainKey, height, txIndex, logIndex). Confirmation depth is enforced against the attested head, not assumed.

- **Liveness circuit breaker**

penaltiesEnabled() requires an unbroken observation record. A stalled oracle must never manufacture defaults across every obligation at once.

BlockProver 0x00000000000000000000000000000000FD2

ChainInfo 0x00000000000000000000000000000000FD3

This is not a mockup. It is running.

Contracts	Deployed + source-verified on CC3 testnet (Blockscout)
Keeper	Running unattended on Fly.io — poke / prove / sweep on independent timers
Lens	Always-on read API on Fly.io, free, no auth
Console	Live on Vercel, wired to the live Lens
Tests	66 contract tests + 7 Lens projection tests, passing

`covenant-console.vercel.app``covenant-lens.fly.dev``github.com/successaje/covenant``MIT-licensed`

Known limitations

- ASC attestors are permissioned today (AuthorizedOnly), with a documented 0 CTC minimum bond and no published slashing regime — our most important external dependency.
- Privacy is v1: identity is a commitment, but payment addresses and amounts are public by construction. Do not put real people's data in this registry today.
- One source chain — Ethereum mainnet only, because that is what ASC attests today.
- Registry spam is priced, not adjudicated. Wash underwriting is priced, not prevented. Both are made expensive, neither is made impossible.
- On-chain registration is not legal lien perfection in any jurisdiction.

A reviewer should not have to discover these. We treat the attesor set as the protocol's single most important external dependency, and design around it: per-obligation exposure caps and an AscVerify abstraction that lets a second evidence backend be swapped in without touching Register.

Where this goes next

- 0–3 mo Mainnet v0. Import historical loan records as commitment-form obligations — coverage on day one.
- 3–6 mo Free encumbrance API. Three venues querying. AscVerify adopted as an ecosystem standard.
- 6–12 mo Underwriting bonds with real capital. First proven mainnet default.
- 12–24 mo ERC standard for Obligations. Registrar Council. Attested Register mirrors on Ethereum/Base.

THE ASK

CEIP fast-track — twelve months to ship the Register to mainnet and land the first three registrars.